

premised upon a theory of fraudulent inducement. (See *Erlich, supra*, 21 Cal.4th at p. 552; *Dhital, supra*, 84 Cal.App.5th at p. 833; Complaint, ¶¶ 16-41.) The complaint’s fifth cause of action, however, is not, instead alleging that “Defendants [sic] improperly, fraudulently and without proper authorization, wrongfully misappropriated Plaintiff’s money for their own personal benefit without any legal justifiable reasons,” and then seeks \$70,000 in damages, the same amount XH allegedly paid Capital Asset under the terms of a written contract. (Complaint, ¶¶ 49-50, 52-57.) For similar reasons, the court agrees with Capital Asset that the allegations underlying the complaint’s fifth cause of action are insufficient. “Money can be the subject of an action for conversion if a specific sum is capable of identification is involved. Neither legal title nor absolute ownership of the property is necessary. A party need only allege it is entitled to immediate possession at the time of conversion. However, a mere contractual right of payment, without more, will not suffice.” (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 452 (*Farmers*), internal citations, emphasis, and quotation marks omitted.) The complaint alleges that XH has a “clear legal ownership and right to possession of its \$70,000.00 but for the illicit actions undertaken by Defendants. . . . Defendants improperly, fraudulently and without proper authorization, wrongfully misappropriated Plaintiff’s money for their own personal benefit without any legal justifiable reasons . . .” (Complaint, ¶¶ 48-49.) Given that the complaint alleges a cause of action for breach of contract on the basis that XH and Capital Asset entered into a written contract in which Capital Asset agreed to sell XH a 1996 “laser machine” for \$70,000, the court struggles to see how the complaint’s conversion allegations do not involve a “mere contractual right of payment.” (*Farmers, supra*, 53 Cal.App.4th at p. 452; Complaint, ¶¶ 52-57.)

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Case Name: *Daniel Skelton et al. v. FCA US, LLC et al.*
Case No.: 24CV450596

Defendant FCA US LLC (“FCA”) has brought a motion for judgment on the pleadings (“JOP motion”) as to the sixth cause of action alleged in the complaint filed by Daniel Skelton and Debbie Martinez (together, “Plaintiffs”). A JOP motion “is equivalent to a belated general demurrer.” (*Sprague v. County of San Diego* (2003) 106 Cal.App.4th 119, 127.) It has the same function as a general demurrer, but it is made after the time for demurrer has expired.

The court GRANTS FCA’s JOP motion as to the complaint’s sixth cause of action with 20 days’ leave to amend. Causes of action based on fraud are subject to a three-year statute of limitations. (See Code Civ. Pro., § 338, subd. (d).) The cause of action “is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (*Ibid.*) The complaint alleges that Plaintiffs entered into a warranty contract with FCA in August 2016 but did not discover FCA’s wrongful conduct until “shortly before the filing of the complaint.” (Complaint, ¶¶ 7, 38.) The complaint further alleges that FCA committed fraud by allowing a

2017 Chrysler Pacifica (the “Subject Vehicle”) to be sold to Plaintiffs without disclosing that the Subject Vehicle and its transmission were defective. (*Id.* at ¶ 65.) A plaintiff “must affirmatively excuse his [or her] failure to discover the fraud within three years after it took place, by establishing facts showing that he [or she] was not negligent in failing to make the discovery sooner and that he [or she] had no actual or presumptive knowledge of facts sufficient to put him [or her] on inquiry.” (*Krolikowski v. San Diego City Employees’ Retirement System* (2018) 24 Cal.App.5th 537, 561-562, internal citation and quotation marks omitted.) The complaint does not plead facts sufficient to “affirmatively excuse” Plaintiffs’ failure to discover the alleged fraud within three years. Specifically, the complaint does not explain when and how Plaintiffs discovered FCA’s allegedly wrongful conduct—the generic allegation that Plaintiffs did so “shortly before” filing the complaint is insufficient to explain either the time and manner of discovery or an inability to have made earlier discovery. (Complaint, ¶ 38; see *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.)

Nor, for that matter, does the complaint allege facts sufficient to invoke any of the other tolling doctrines that it references. (Complaint, ¶¶ 37-39.) As to the “repair doctrine,” the complaint is devoid of allegations that Plaintiffs notified the manufacturer or seller of their failure to fix any issues within 60 days of completion of repairs or services. (See Civ. Code, 1795.6, subd. (b).) As to the “class action tolling” doctrine, the complaint identifies no class action that could potentially toll any applicable statute of limitations—in opposition to FCA’s motion, Plaintiffs identify a class action case but, importantly, the complaint does not name this case. (See *Am. Pipe & Const. Co. v. Utah* (1974) 414 U.S. 538, 554.) As to the doctrines of equitable tolling, fraudulent concealment, and equitable estoppel, when a plaintiff relies on any of these theories “to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory.” (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641, internal citations omitted.) In order for “fraudulent concealment” to toll any applicable statute of limitations for a cause of action, a plaintiff must allege “when the fraud was discovered . . . the circumstances under which it was discovered . . . that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry”—for reasons the court has already discussed, Plaintiffs have not done so here. (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900, internal citation omitted.) Nor does the complaint plead facts sufficient to support equitable tolling. (See *State Comp. Ins. Fund v. Dept of Ins.* (2023) 96 Cal.App.5th 227, 240 [equitable tolling applies when three elements are present: (1) timely notice; (2) lack of prejudice to the defendant; and (3) reasonable and good faith conduct on the part of plaintiff].)

For the parties’ future reference, the court notes that it is not persuaded by FCA’s arguments that the economic loss rule bars the complaint’s sixth cause of action or that the complaint fails to plead facts sufficient to support its sixth cause of action. As to FCA’s argument regarding the sufficiency of the allegations supporting the complaint’s sixth cause of action, the complaint alleges that Plaintiffs entered into a warranty contract with FCA, FCA advertised to Plaintiffs regarding the Subject Vehicle, Plaintiffs interacted with FCA’s sales representatives, the Subject Vehicle exhibited defects, FCA knew of these defects and failed to disclose them, FCA intended to defraud Plaintiffs, and Plaintiffs would not have purchased the Subject Vehicle had they known of these defects. (Complaint, ¶¶ 7-27, 64-72.) These allegations are sufficient. (See *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 (*Dhital*).) Although

the Supreme Court initially granted review in *Dhital*, it subsequently dismissed review, which means *Dhital* is precedential authority. (Cal Rules of Court, rule 8.1115(e)(2).) The court is also not convinced by GM’s economic loss rule argument. (See *Dhital, supra*, 84 Cal.App.5th at pp. 833, 837-841 [“We conclude that, under California law, the economic loss rule does not bar plaintiffs’ fraudulent inducement claim. . . . Here, the fraudulent inducement exception to the economic loss rule applies. Plaintiffs allege that Nissan, by intentionally concealing facts about the defective transmission, fraudulently induced them to purchase a car. Fraudulent inducement is a viable tort claim under California law. . . . What follows from its analysis, however, is that concealment-based claims for fraudulent inducement are not barred by the economic loss rule.”].) Plaintiffs correctly point out that *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 (*Rattagan*) distinguished “fraud-in-the-performance” from “fraud-in-the-inducement,” and here the complaint’s sixth cause of action alleges fraudulent inducement. (*Rattagan, supra*, 17 Cal.5th at p. 41, fn. 12 [“Rattagan’s tort claims are, of course, based on alleged conduct committed *during* the contractual relationship but purportedly outside the parties’ chosen rights and obligations. . . .”], emphasis original.)